Eurozone found themselves mired in debt. Political constraints within the Eurozone, which was a monetary union but not a fiscal union, resulted in fissures within the European Union. The financial crisis was compounded by a sharp rise in global energy prices, contributing to economic distress in the developed and developing worlds. [3] But the fact that China and India (at least until 2011) recovered well in the following years, while the United States and Europe saw an economic downturn, contributed to the pervasive notion that the West was in decline and Asia was ascendant.

The major geo-economic crisis of 2008 coincided with geopolitical moves. In August 2008, Beijing hosted the Summer Olympics, symbolically announcing its arrival as a world power. Shortly after, China surpassed Japan to become the world's second largest economy. In late 2008, Beijing launched its first naval flotilla to the Indian Ocean on the premise of counter-piracy operations. This marked the first major actions by the People's Liberation Army outside its claimed territory. Developments were no less significant in Europe. Following a NATO Summit in which leaders opened the possibility of Georgia and Ukraine joining the alliance, Russia under Vladimir Putin intervened militarily in Georgia, after differences erupted over Russian-backed breakaway regions. The move also sent a signal to the West and further perpetuated frozen conflicts in the Russian periphery. [4]

That year also saw political developments of significance. In November 2008, Barack Obama was elected president in the United States. His historical victory was, in part, a repudiation of the foreign and economic policies of George W. Bush and (to a lesser degree) Bill Clinton. Early in his presidential tenure in 2009, Obama and his advisors expressed interest in reaching an accommodation with China (a so-called 'G2') and mediating between India and Pakistan on Jammu and Kashmir. [5] These naturally raised hackles in New Delhi.

After elections in early 2009, the new Congress-led United Progressive Alliance government (known as UPA-II) responded to these developments. The following few years were marked by less enthusiasm in building ties with the United States and Europe. Instead, New Delhi's focus on Asia